SENATE BILL 696
By Johnson

HOUSE BILL 161

By McCalmon

AN ACT to amend Tennessee Code Annotated, Title 56, Chapter 3, Part 4, relative to investments by insurance companies.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-3-403(c), is amended by deleting the language "one percent (1%)" and substituting "twenty percent (20%)".

SECTION 2. Tennessee Code Annotated, Section 56-3-402(15), is amended by deleting the language "five percent (5%)" and substituting "ten percent (10%)".

SECTION 3. Tennessee Code Annotated, Section 56-3-402, is amended by adding the following new subdivision:

(17)

(A) In a money market fund, as defined by 17 CFR 270.2a-7 under the Investment Company Act of 1940 (15 U.S.C. §§ 80a-1 et seq.), that may be either of the following:

(i) A government money market fund that is a money market fund that:

(*a*) Invests only in obligations issued, guaranteed, or insured by the federal government of the United States or collateralized repurchase agreements composed of these obligations; and

(*b*) Qualifies for investment without a reserve under the Purposes and Procedures Manual of the of the National Association of Insurance Commissioners (NAIC) Investment

Analysis Office or, if it is no longer being published, the successor publication to the Purposes and Procedures Manual of the NAIC Investment Analysis Office; or

(ii) A Class 1 money market fund that is a money market fund that qualifies for investment using the bond Class 1 reserve factor under the Purposes and Procedures Manual of the NAIC Investment Analysis Office or, if it is no longer being published, the successor publication to the Purposes and Procedures Manual of the NAIC Investment Analysis Office.

(B) For the purposes of complying with this subdivision (17), money market funds qualifying for listing within these categories must conform to the Purposes and Procedures Manual of the NAIC Investment Analysis Office or, if it is no longer being published, the successor publication to the Purposes and Procedures Manual of the NAIC Investment Analysis Office.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.